12 Nov 2026 07:45:16 ET | 17 pages

Hon Hai Precision (2317.TW)

AI rack momentum accelerates into 2027, ASIC expansion to improve profitability

CITI'S TAKE

Hon Hai reported an upbeat 3Q26 earnings of NT$77.5bn (up 29% QoQ, 34% YoY) with GM/OPM at 6.0%/3.8%, better than our and Street's estimates by 10% and 11%. Cloud and networking products accounted for 54% of quarterly revenue, becoming the group's largest business. Thanks to improving operating leverage, manufacturing efficiency, and vertical integration, the company sees solid OPM sustainability. Despite recent AI deployment concern, management sees strong growth outlook into 4Q26 and 2027 and expects further profitability improvement. We maintain Buy.

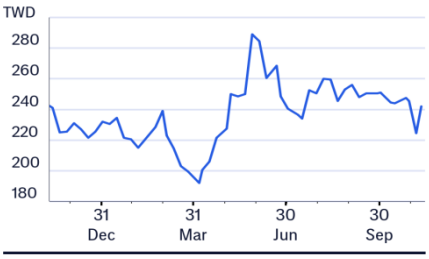
Further AI share gains with solid order visibility — Management expects strong sequential and annual revenue growth in 4Q26, supported by accelerating AI server shipments and the traditional ICT peak season. Importantly, AI rack shipments are expected to increase by high double digits QoQ, driven by the ramp-up of next-generation platforms. Management highlighted that automation and production yields have improved significantly, reducing historical challenges associated with model transition. Hon Hai's market share in the latest AI rack generation has also increased versus the previous generation, supporting stronger shipment momentum. While consumer electronics should benefit from healthy premium smartphone demand and seasonal product launches. PC shipments remain constrained by memory shortages and rising component costs. Management has upgraded its FY26 outlook across all four business segments, reflecting better visibility ahead.

ASIC- Expanding CSP engagement and new growth opportunities beyond GPUs — Hon Hai's ASIC market is expanding rapidly as hyperscalers increasingly develop customized silicon to optimize performance and costs. Importantly, ASIC projects generally adopt consignment-based business models, reducing working-capital requirements compared with traditional procurement arrangements and potentially improving capital efficiency. Hon Hai's competitive advantages include established CSP relationships, rack-level system integration, manufacturing automation, and extensive vertical integration capabilities. We believe growing ASIC adoption could diversify Hon Hai's AI revenue base, more rack shipments upside, and strengthen its competitive positioning in the rapidly expanding AI infrastructure market.

Buy

Price (12 Nov 26 13:30)	NT$240.00
Target price	NT$400.00
Expected share price return	66.7%
Expected dividend yield	4.4%
Expected total return	71.1%
Market Cap	NT$3,378,179M US$102,711M

Price Performance
(RIC: 2317.TW, BB: 2317 TT)



Earnings Summary

Year to 31 Dec	Net Profit (NT$M)	Diluted EPS (NT$)	EPS growth (%)	P/E (x)	P/B (x)	ROE (%)	Yield (%)
2024A	152,705	11.01	7.4	21.8	2.0	9.7	2.4
2025A	189,354	13.61	23.6	17.6	1.9	11.1	3.0
2026E	282,932	20.16	48.2	11.9	1.5	14.0	4.4
2027E	370,142	26.36	30.8	9.1	1.4	15.6	5.8
2028E	424,410	30.23	14.7	7.9	1.2	16.3	6.7

Source: Powered by dataCentral

Laura (Chia Yi) Chen[AC]
+886-2-8726-9090
laura.cy.chen@citi.com

Michael Hung
+886-2-8726-9092
michael.hung@citi.com

Jack Chen
+886-2-8726-9091
jack1.chen@citi.com

Nicholas Lai
+886-2-8726-9093
nicholas.lai@citi.com

See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations.

2317.TW: Fiscal year end 31-Dec						Price: NT$240.00; TP: NT$400.00; Market Cap: NT$3,378,179m; Recomm: Buy					
Profit & Loss (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Valuation ratios**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
Sales revenue	6,859,615	8,103,105	11,547,222	17,209,906	20,988,716	PE (x)	21.8	17.6	11.9	9.1	7.9
Cost of sales	-6,430,670	-7,604,944	-10,862,226	-16,271,584	-19,853,328	PB (x)	2.0	1.9	1.5	1.4	1.2
Gross profit	428,946	498,161	684,996	938,321	1,135,387	EV/EBITDA (x)	9.2	7.4	5.2	4.7	4.3
Gross Margin (%)	6.3	6.1	5.9	5.5	5.4	FCF yield (%)	-4.3	-1.5	-16.9	-1.4	5.4
EBITDA (Adj)	**288,489**	**356,976**	**534,114**	**643,608**	**741,480**	Dividend yield (%)	2.4	3.0	4.4	5.8	6.7
EBITDA Margin (Adj) (%)	4.2	4.4	4.6	3.7	3.5	Payout ratio (%)	53	52	53	53	53
Depreciation	-87,882	-97,753	-118,968	-142,215	-160,659	ROE (%)	9.7	11.1	14.0	15.6	16.3
Amortisation	0	0	0	0	0	**Cashflow (NT$m)**	**2024**	**2025**	**2026E**	**2027E**	**2028E**
EBIT (Adj)	**200,607**	**259,223**	**415,146**	**501,394**	**580,820**	EBITDA	288,489	356,976	534,114	643,608	741,480
EBIT Margin (Adj) (%)	2.9	3.2	3.6	2.9	2.8	Working capital	-101,980	-56,573	-757,459	-415,979	-260,789
Net interest	8,781	-7,087	-15,860	-7,689	-16,753	Other	-28,928	-44,188	-94,896	-102,300	-123,287
Associates	3,887	20,015	7,268	4,000	4,000	**Operating cashflow**	**157,581**	**256,214**	**-318,241**	**125,329**	**357,404**
Non-Op/Except/Other Adj	-1,400	21,294	17,505	34,420	41,977	Capex	-131,335	-153,155	-179,217	-170,000	-170,000
Pre-tax profit	**211,875**	**293,445**	**424,060**	**532,125**	**610,045**	Net acq/disposals	50,739	37,495	-60,770	-4,000	-4,000
Tax	-40,196	-78,410	-103,809	-133,031	-152,511	Other	-219,450	-189,029	-12,026	0	0
Extraord./Min.Int./Pref.div.	-18,974	-25,681	-37,319	-28,952	-33,124	**Investing cashflow**	**-300,046**	**-304,689**	**-252,012**	**-174,000**	**-174,000**
Reported net profit	**152,705**	**189,354**	**282,932**	**370,142**	**424,410**	Dividends paid	-83,134	-106,731	-99,979	-149,388	-195,435
Net Margin (%)	2.2	2.3	2.5	2.2	2.0	**Financing cashflow**	**-164,072**	**109,947**	**275,068**	**-149,388**	**-195,435**
Core NPAT	152,705	189,354	282,932	370,142	424,410	**Net change in cash**	**-269,008**	**108,694**	**-295,185**	**-198,059**	**-12,031**
Per share data	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**Free cashflow to s/holders**	**-142,465**	**-48,475**	**-570,253**	**-48,671**	**183,404**
Reported EPS ($)	11.01	13.61	20.16	26.36	30.23						
Core EPS ($)	11.01	13.61	20.16	26.36	30.23						
DPS ($)	5.80	7.13	10.65	13.93	15.97						
CFPS ($)	11.36	18.42	-22.68	8.93	25.46						
FCFPS ($)	-10.27	-3.48	-40.64	-3.47	13.06						
BVPS ($)	118.44	126.95	161.75	177.49	193.81						
Wtd avg ord shares (m)	13,870	13,913	14,032	14,040	14,040						
Wtd avg diluted shares (m)	13,870	13,913	14,032	14,040	14,040						
Growth rates	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Sales revenue (%)	11.3	18.1	42.5	49.0	22.0						
EBIT (Adj) (%)	20.5	29.2	60.2	20.8	15.8						
Core NPAT (%)	7.5	24.0	49.4	30.8	14.7						
Core EPS (%)	7.4	23.6	48.2	30.8	14.7						
Balance Sheet (NT$m)	**2024**	**2025**	**2026E**	**2027E**	**2028E**						
Cash & cash equiv.	1,315,835	1,596,804	1,301,639	1,103,579	1,091,548						
Accounts receivables	1,141,418	1,181,307	2,129,403	2,687,938	3,084,451						
Inventory	835,016	1,095,574	1,593,652	2,103,999	2,414,463						
Net fixed & other tangibles	468,838	543,393	603,642	631,427	640,768						
Goodwill & intangibles	0	0	0	0	0						
Financial & other assets	633,393	687,594	1,294,033	1,493,828	1,618,435						
Total assets	**4,394,500**	**5,104,672**	**6,922,369**	**8,020,772**	**8,849,665**						
Accounts payable	1,133,052	1,331,933	2,151,431	2,735,199	3,138,802						
Short-term debt	642,783	940,441	1,003,110	1,003,110	1,003,110						
Long-term debt	287,793	306,086	301,420	301,420	301,420						
Provisions & other liab	479,284	555,449	965,426	1,230,356	1,393,548						
Total liabilities	**2,542,911**	**3,133,909**	**4,421,387**	**5,270,085**	**5,836,880**						
Shareholders' equity	1,645,202	1,772,772	2,269,131	2,489,884	2,718,859						
Minority interests	206,386	197,992	231,851	260,802	293,926						
Total equity	**1,851,588**	**1,970,763**	**2,500,981**	**2,750,687**	**3,012,785**						
Net debt (Adj)	**-385,259**	**-350,277**	**2,892**	**200,951**	**212,982**						
Net debt to equity (Adj) (%)	-20.8	-17.8	0.1	7.3	7.1						

For definitions of the items in this table, please click here.

CPO: New growth opportunities from vertical integration — Hon Hai sees significant long-term opportunities in both ASIC and vertical integration including optical interconnect technologies. In optical networking, management believes the transition from electrical to optical interconnects is structurally inevitable as AI models expand and memory-bandwidth requirements increase. Hon Hai's CPO optical switching already starts mass volume production for its major customer, and its micron-level precision manufacturing expertise in optical alignment, connectors, and electrical-to-optical conversion could create additional value through component integration and higher system-level content. Its extensive engineering resources, ODM/JDM development capabilities, and vertically integrated manufacturing platform should strengthen its competitive positioning. Management expressed strong confidence in optical growth opportunities but did not provide specific 2027 revenue guidance.

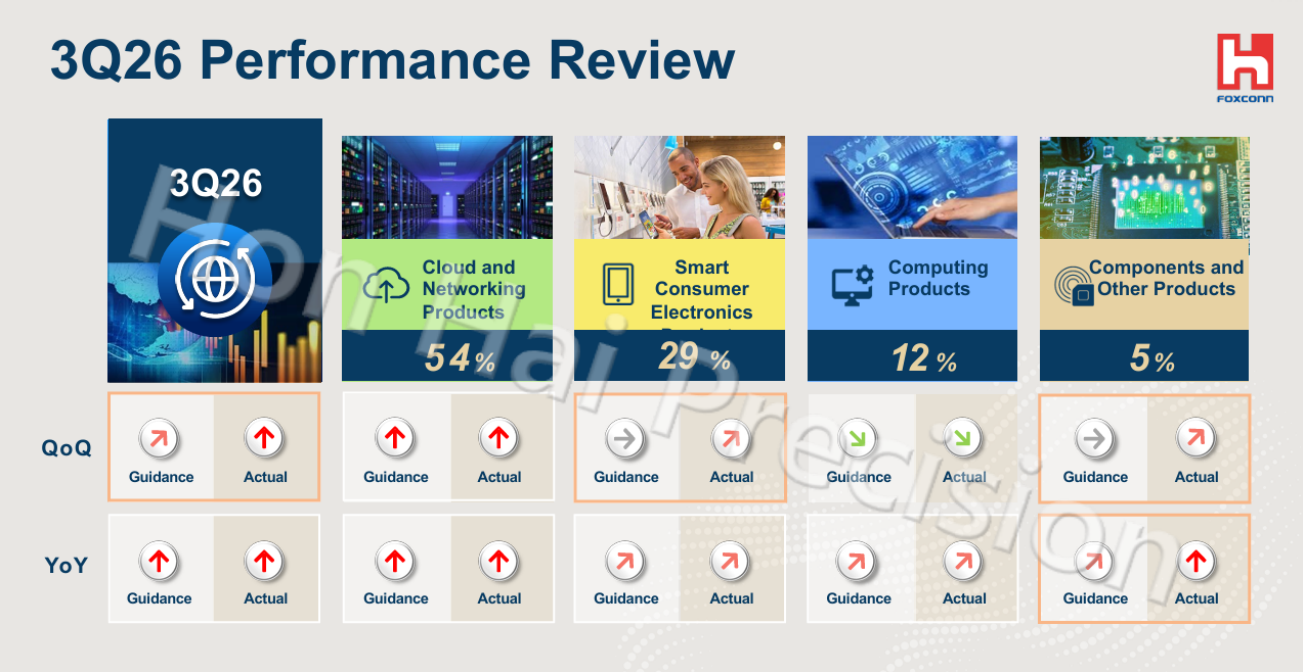
Figure 1. Hon Hai - 3Q26 Results Overview

NT$mn	3Q26 Actual	2Q26 Actual	Q/Q	3Q25 Actual	Y/Y	3Q26 Citi	Diff.	3Q26 Con's	Diff.
Revenue	3,015,634	2,525,894	19%	2,058,949	46%	2,892,135	4%	2,847,000	6%
Gross profit	181,513	154,533	17%	130,757	39%	166,732	9%	170,450	6%
Gross margin	**6.0%**	**6.1%**	**-0.1%**	**6.4%**	**-0.3%**	**5.8%**	**0.3%**	**6.0%**	**0.0%**
Op. profit	115,350	94,803	22%	70,536	64%	96,052	20%	100,170	15%
OP margin	**3.8%**	**3.8%**	**0.1%**	**3.4%**	**0.4%**	**3.3%**	**0.5%**	**3.5%**	**0.3%**
Pretax profit	118,712	94,866	25%	86,893	37%	101,000	18%	103,203	15%
Net income	**77,524**	**59,974**	**29%**	**57,673**	**34%**	**70,700**	**10%**	**69,620**	**11%**
EPS	**5.51**	**4.28**	29%	**4.13**	33%	**5.06**	9%	**4.98**	11%

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Source: Company Reports, Citi Research Estimates, Bloomberg

Figure 2. Hon Hai - 3Q26 Performance Review



Source: Company Reports

Figure 3. Hon Hai - 4Q26E Business Outlook



Source: Company Reports

Figure 4. Hon Hai - 2026E Business Outlook



Source: Company Reports

Figure 5. Hon Hai - 2027E Business Outlook



Source: Company Reports

Figure 6. Hon Hai - Earnings Estimates Revisions

	2026E			2027E			2028E		
(NT$mn)	New	Old	Chg.	New	Old	Chg.	New	Old	Chg.
Sales	11,547,222	11,269,712	2%	17,209,906	16,365,434	5%	20,988,716	20,368,132	3%
Gross profit	684,996	662,295	3%	938,321	895,762	5%	1,135,387	1,102,931	3%
Opex	269,849	273,411	-1%	436,928	417,973	5%	554,567	547,551	1%
Operating profit	415,146	388,884	7%	501,394	477,790	5%	580,820	555,380	5%
Pre-tax profit	424,060	398,673	6%	532,125	502,416	6%	610,045	575,849	6%
Net income	282,932	270,736	5%	370,142	349,440	6%	424,410	400,570	6%
EPS (NT$)	20.16	19.45	4%	26.36	25.11	5%	30.23	28.78	5%
Gross margin	5.9%	6.0%	0.0%	5.5%	5.9%	-0.4%	5.4%	5.9%	-0.5%
Opex ratio	2.3%	3.1%	-0.8%	2.5%	3.3%	-0.8%	2.6%	3.3%	-0.7%
Operating margin	3.6%	2.9%	0.7%	2.9%	2.5%	0.4%	2.8%	2.5%	0.2%
Net margin	2.5%	2.2%	0.3%	2.2%	1.8%	0.3%	2.0%	1.8%	0.2%

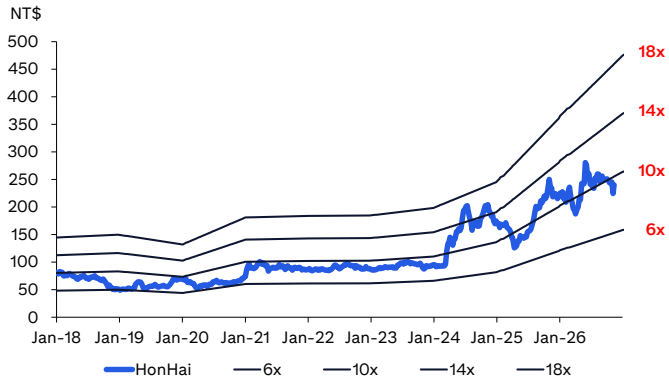
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Source: Citi Research Estimates

Robust financials and earnings growth, maintain Buy — Thanks to strong demand from major CSP clients and its continuous automation and vertical integration development, Hon Hai's capex increased 43% YTD. Nevertheless, its EBITDA increased 50.3% YoY to NT$369.2bn. To improve capital efficiency, Hon Hai plans to expand consignment arrangements, optimize inventory and receivables management, and carefully evaluate investment payback periods. Management reiterated its long-term operating margin floor of above 3%, with further potential upside from scale economies, automation, product mix improvements, and greater vertical integration.

Given Hon Hai's solid result and better operational leverage, we raise our 2026/2027/2028 EPS by 4%/5%/5%. Considering its solid execution, stable dividend yield and attractive valuation, we reiterate our Buy rating with TP NT$400 unchanged. Our TP implies 15x of our 2027 EPS projection.

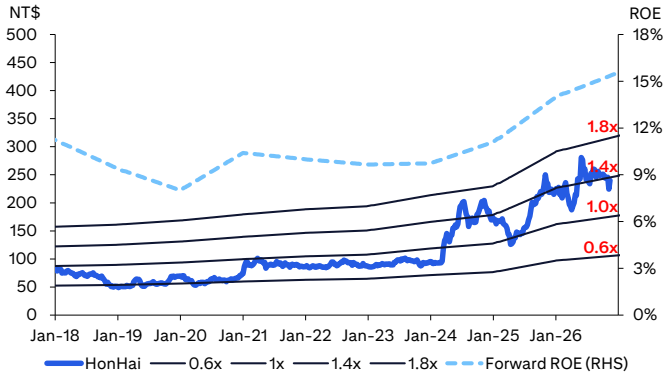
Figure 7. Hon Hai - Forward P/E Bands



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 8. Hon Hai - Forward P/B Bands



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Source: Company Reports, Citi Research Estimates, TEJ

Figure 9. Hon Hai - Earnings Estimates Revisions

NT$mn	1Q26	2Q26	3Q26	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	2025	2026E	2027E	2028E
Net Sales	**2,119,533**	**2,525,894**	**3,015,634**	**3,886,160**	**3,768,532**	**3,772,010**	**4,559,483**	**5,109,882**	**8,103,105**	**11,547,222**	**17,209,906**	**20,988,716**
Gross profit	**130,981**	**154,533**	**181,513**	**217,969**	**207,074**	**211,924**	**246,472**	**272,852**	**498,161**	**684,996**	**938,321**	**1,135,387**
OPEX	55,332	59,730	66,163	88,624	107,039	91,349	115,261	123,279	238,938	269,849	436,928	554,567
Operating profit	**75,649**	**94,803**	**115,350**	**129,344**	**100,036**	**120,574**	**131,211**	**149,573**	**259,223**	**415,146**	**501,394**	**580,820**
Total Non-OP	(1,617)	63	3,362	7,106	7,537	6,415	5,027	11,752	34,222	8,913	30,731	29,224
Pre-tax profit	**74,031**	**94,866**	**118,712**	**136,450**	**107,573**	**126,990**	**136,238**	**161,325**	**293,445**	**424,060**	**532,125**	**610,045**
Income tax	17,075	24,810	27,811	34,112	26,893	31,747	34,059	40,331	78,410	103,809	133,031	152,511
Net profit	**49,919**	**59,974**	**77,524**	**95,515**	**74,225**	**87,623**	**95,367**	**112,927**	**189,354**	**282,932**	**370,142**	**424,410**
EPS (NT$)	**3.56**	**4.28**	**5.51**	**6.81**	**5.29**	**6.25**	**6.80**	**8.05**	**13.61**	**20.16**	**26.36**	**30.23**
Margins (%)												
Gross profit	6.2	6.1	6.0	5.6	5.5	5.6	5.4	5.3	6.1	5.9	5.5	5.4
OPEX to Sales Ratio	2.6	2.4	2.2	2.3	2.8	2.4	2.5	2.4	2.9	2.3	2.5	2.6
Operating profit	3.6	3.8	3.8	3.3	2.7	3.2	2.9	2.9	3.2	3.6	2.9	2.8
Pre-tax profit	3.5	3.8	3.9	3.5	2.9	3.4	3.0	3.2	3.6	3.7	3.1	2.9
Net profit	2.4	2.4	2.6	2.5	2.0	2.3	2.1	2.2	2.3	2.5	2.2	2.0
Y/Y(%)												
Net sales	28.9	40.8	46.5	49.1	77.8	49.3	51.2	31.5	18.1	42.5	49.0	22.0
Gross profit	30.3	36.1	38.8	42.2	58.1	37.1	35.8	25.2	16.1	37.5	37.0	21.0
OPEX	2.4	4.9	9.9	30.8	93.4	52.9	74.2	39.1	4.6	12.9	61.9	26.9
Operating profit	62.7	67.5	63.5	51.1	32.2	27.2	13.7	15.6	29.2	60.2	20.8	15.8
Pre-tax profit	25.2	45.6	36.6	65.8	45.3	33.9	14.8	18.2	38.5	44.5	25.5	14.6
Net profit	18.6	35.2	34.4	111.3	48.7	46.1	23.0	18.2	24.0	49.4	30.8	14.7
EPS	17.6	33.9	33.4	110.3	48.4	46.1	23.4	18.2	23.6	48.2	30.8	14.7
Q/Q(%)												
Net sales	(18.7)	19.2	19.4	28.9	(3.0)	0.1	20.9	12.1				
Gross profit	(14.6)	18.0	17.5	20.1	(5.0)	2.3	16.3	10.7				
OPEX	(18.3)	7.9	10.8	33.9	20.8	(14.7)	26.2	7.0				
Operating profit	(11.6)	25.3	21.7	12.1	(22.7)	20.5	8.8	14.0				
Pre-tax profit	(10.0)	28.1	25.1	14.9	(21.2)	18.1	7.3	18.4				
Net profit	10.4	20.1	29.3	23.2	(22.3)	18.1	8.8	18.4				
EPS	10.1	19.9	28.9	23.6	(22.3)	18.1	8.8	18.4				

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Source: Company Reports, Citi Research Estimates

Bull/Bear: Hon Hai Precision (2317.TW)

NT$ 475.00 ▲98% Upside

NT$ 400.00 ▲67% Upside

NT$ 210.00 ▼13% Downside



Spread 110pp
Current Price and expected returns (upside/downside) as of 12 Nov 2026

BULL Assumptions

- Target PE at 18x

BASE Assumptions

- Sales to grow by 43% YoY in 2026E with OPM at 3.6%
- Target PE at 15x

BEAR Assumptions

- Sales to grow by 5% YoY in 2026E with OPM at 2.5%
- Target PE at 8x

Hon Hai Precision

Company description

Established in 1974, Hon Hai has become the largest EMS player in the world in terms of sales. Through its vertical integration model or "eCMMS" (e-enabled Components, Modules, Moves and Services), it provides components, modules and system assembly products to many global OEMs in the PC, communication and consumer sectors.

Investment strategy

We rate Hon Hai shares as Buy as we believe the company's margins will continue to improve, backed by a renewed focus on profitability, operational efficiency and new businesses development. We think there's more upside to go from current level, as the underlying drivers are not just about product cycle, but also about fundamental transformation and new business opportunities.

Valuation

Our target price of NT$400 is based on 15x average 2026E-27E EPS, which is at the higher end of the historical trading range. We believe this multiple is justified by the company's enhanced sales growth and profit margin outlook, as well as new endeavors into AI server, EV, digital health and robotics. Hon Hai has been able to generate positive earnings streams, and thus we believe a P/E valuation methodology is appropriate.

Risks

Downside risks that could impede the stock from reaching our target price include: 1) slower-than-expected iPhone demand; 2) intensified peer competition; 3) weaker-than-expected execution on new business progress; and 4) higher-than-expected impact of COVID-19 or other macro factors.

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Appendix A-1

ANALYST CERTIFICATION

The research analysts primarily responsible for the preparation and content of this research report are either (i) designated by "AC" in the author block or (ii) listed in bold alongside content which is attributable to that analyst. If multiple AC analysts are designated in the author block, each analyst is certifying with respect to the entire research report other than (a) content attributable to another AC certifying analyst listed in bold alongside the content and (b) views expressed solely with respect to a specific issuer which are attributable to another AC certifying analyst identified in the price charts or rating history tables for that issuer shown below. Each of these analysts certify, with respect to the sections of the report for which they are responsible: (1) that the views expressed therein accurately reflect their personal views about each issuer and security referenced and were prepared in an independent manner, including with respect to Citigroup Global

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IMPORTANT DISCLOSURES

Hon Hai Precision (2317.TW)

Ratings and Target Price History
Fundamental Research

Analyst: Laura (Chia Yi) Chen



	Date	Rating	Target Price	Closing Price
1	14-Mar-24 18:14:10	1	*166.00	121.00
2	14-May-24 10:12:01	1	*207.00	172.00
3	23-Jun-24 17:55:18	1	*255.00	212.00
4	14-Aug-24 09:06:07	1	*250.00	185.50
5	14-Nov-24 09:52:36	1	*260.00	211.50
6	14-May-25 08:26:47	1	*220.00	163.00
7	14-Aug-25 11:01:46	1	*250.00	199.50
8	06-Oct-25 08:33:44	1	*285.00	226.50
9	12-Nov-25 13:13:30	1	*320.00	251.00
10	14-May-26 11:56:31	1	*360.00	244.50
11	12-Aug-26 11:00:08	1	*400.00	270.00

*Indicates Change

Rating/target price changes above reflect Eastern Time

Hon Hai Precision (2317.TW)

Short-Term View/Catalyst Watch Research

Analyst: Laura (Chia Yi) Chen



	Date	Action	Expected Direction	Duration	Closing Price
1	14-Aug-24 05:06:07	Add STV	Upside	30 Days	185.50
2	13-Sep-24 14:18:39	Remove STV	Upside	30 Days	176.00
3	08-Oct-24 08:12:52	Add STV	Upside	90 Days	194.00
4	06-Jan-25 19:58:13	Remove STV	Upside	90 Days	184.50
5	10-Feb-25 01:21:07	Add STV	Upside	90 Days	174.00
6	17-Apr-25 07:55:20	Remove STV	Upside	90 Days	134.50
7	05-May-25 02:10:47	Add STV	Upside	30 Days	142.50
8	04-Jun-25 21:54:31	Remove STV	Upside	30 Days	156.00
9	05-Jun-25 06:40:07	Add STV	Downside	30 Days	155.50
10	04-Jul-25 14:23:13	Remove STV	Downside	30 Days	161.00
11	06-Jul-25 14:10:54	Add STV	Upside	30 Days	161.00
12	05-Aug-25 21:47:06	Remove STV	Upside	30 Days	184.50
13	14-Aug-25 07:01:46	Add STV	Upside	90 Days	199.50
14	12-Nov-25 19:59:24	Remove STV	Upside	90 Days	251.00
15	23-Nov-25 14:57:51	Add STV	Upside	30 Days	225.00
16	23-Dec-25 19:51:51	Remove STV	Upside	30 Days	224.00
17	05-Jan-26 01:27:04	Add STV	Upside	30 Days	234.50
18	04-Feb-26 19:57:48	Remove STV	Upside	30 Days	219.00

CW - Catalyst Watch , STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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Data current as of 01 Oct 2026	**Buy**	**Hold**	**Sell**	**Buy**	**Hold**	**Sell**
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% of companies in each rating category that are investment banking clients	39%	43%	30%	42%	38%	36%

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